

Answer Key — Exchange Concepts Knowledge Check, Variant 03

Correct statements are listed per question. Scoring: +1 per correct selection, -2 per incorrect selection, 0 for unselected, floor of 0 overall.

#	Correct	#	Correct
1	B, C, E	16	A, B, C, E
2	A, D	17	A, B, C, E
3	A, D, E	18	A, B, C, D, E
4	A, B, D	19	A, B, C, E
5	A, B, C, E	20	A, B, D, E
6	A, B, C	21	A, B, D, E
7	A, B, D, E	22	A, D, E
8	A, C, D, E	23	A, C, D, E
9	A, B, D	24	A, B, C, E
10	B, C, D	25	A, B, C, E
11	A, B, D, E	26	A, B, D, E
12	A, B, D, E	27	A, C, D, E
13	A, B, D, E	28	A, B, C, E
14	A, C, D	29	A, B, C, E
15	A, C, E	30	A, B, D, E

Notes on selected answers

- **Q2(B, C, E):** SpaceX's 2026 IPO priced below \$200/share purely because of its chosen share count relative to a ~\$1.77 trillion valuation — it says nothing about company quality (B false). Underwriters rarely end up holding shares themselves; the roadshow process is designed to avoid that (C false). Valuation and share price are linked precisely through the share count the company chooses (E false).
- **Q9(C, E):** A limit price is the *worst* acceptable price, not a target or "best hoped for" price (C false). Unfilled limit orders rest in the book as passive orders rather than being rejected (E false).
- **Q10(A, E):** Market orders are the reverse of what A claims — they favour execution certainty over price certainty. Market orders cannot rest in the book; if unfilled immediately, they are cancelled (E false).
- **Q14(B, E):** A price amendment always loses priority and receives a new timestamp — it is never retained (B false). Under strict FIFO, the earlier-arriving Order X would receive all 60 lots, not Order

Y; pro-rata is what splits the fill proportionally (E false/garbled reasoning).

- **Q17(C):** The document's own state diagram shows a NEW → REJECTED transition explicitly labelled "never entered book" — treat this as a defined transition in the source material even though "REJECTED" conceptually means the order never rested in the book.
- **Q20(C):** In a call auction, every matched participant trades at the single equilibrium price; a seller who asked \$150 when the clearing price is \$151 receives \$151, not their original ask (C false).
- **Q22(B, C):** The DJIA is price-weighted, not cap-weighted (B false). A free-float methodology specifically excludes closely-held founder/government stakes from the count used in index calculations (C false).
- **Q24(D):** A *static* collar compares against the previous close; a *dynamic* collar compares against the most recent trade — D reverses these.